The burden of losing a home to wildfire: income falls for years afterward

Lessons from "The Distribution and Consequences of Natural Disasters: Evidence from U.S. Wildfire Victims" by Patrick Baylis, Judson Boomhower, Jonathan Colmer, and John Voorheis, NBER Working Paper, 2026.

New research studying around 150 major U.S. wildfires over two decades shows that **when a wildfire destroys a home, occupants don't just lose the structure — they lose income too, for years afterward**.

BACKGROUND

Photo: Mike Newbry / Unsplash

Global economic losses from natural catastrophes totaled $320 billion in 2024. This figure helps highlight how important this issue is, but doesn't provide enough information for action to be taken. **Costs fall unevenly across people and places, which is essential to understand for effective responses.** Destructive wildfires have grown far more common over the past decade, and three forces are expected to push that number higher: a warming climate, more building in fire-prone places, and the dry brush and dead trees that have piled up after decades of fire suppression. Responding well means knowing what these fires cost and who pays.

Baylis et al. studied around 150 major wildfires in five western states between 2003 and 2022, representing more than 7 in 10 of all U.S. homes destroyed by wildfire in that period. They paired official post-fire damage inspections of every structure inside each fire perimeter with tax and Census records to track affected people and their incomes. **The structural status for every home in each fire's path is matched to the income of the people who lived there, providing an incredibly detailed view of the distributional consequences of wildfires.**

LOWER-INCOME HOMES BURNED MORE OFTEN, EVEN ON THE SAME STREET

The people in the fires' paths earned more than the U.S. population on average and were more likely to be white, reflecting where wildfires are most prevalent — the western U.S., many of them in California. However, within any single fire, the people who lost homes earned less than their surviving neighbors: **occupants of destroyed homes earned $132,700 on average before the fire, against $219,800 for occupants of homes that survived the same fires.** A quarter of those who lost a home earned under $42,000.

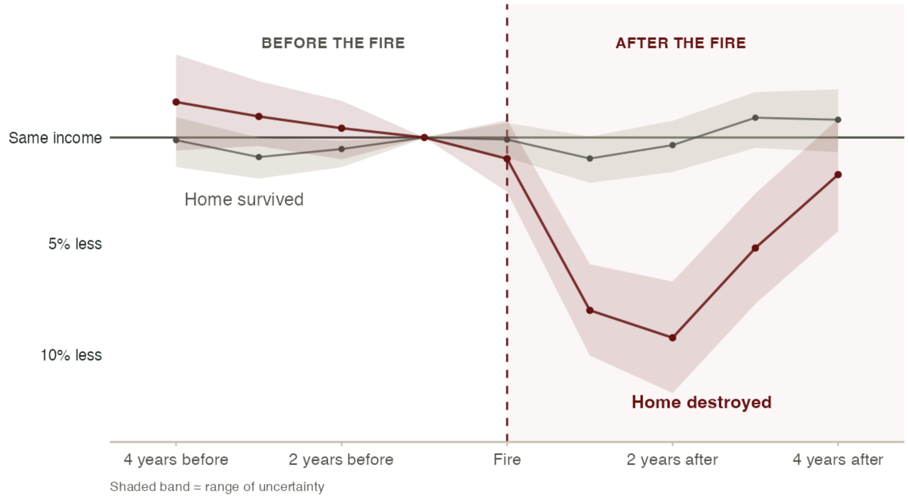
INCOME FELL ONLY FOR THOSE WHO LOST A HOME

To measure the costs of the fire outside of home reconstruction, the researchers compared those who did and those who didn't lose a home against people living just outside the perimeter, all in the same job market and same year. All three groups' incomes had moved together for years beforehand, allowing researchers to assume that if those who lost a home had not been affected by the fire, their incomes would have followed the same trajectory as the other groups. However, **households whose homes were destroyed earned less than their neighbors for three years running, about 11% less at the low point in the second year, recovering by the fourth**. Added up, the shortfall comes to 30% of a single year's pre-fire income, roughly $38,000, while **households whose homes survived showed no decline in income**.

The drop did not come from people losing work: employment barely dipped after the fire, and neither did the rate of job changes, which points to fewer hours worked as the likely source. The loss fell hardest on people who owned their home before the fire, while renters' losses faded within two or three years — a pattern consistent with the demands of managing a rebuild. Victims also drew down retirement savings, which still fell short of closing the gap; about 10% moved to another county and had not returned four years later.

THE WILDFIRE'S EFFECT ON INCOME, YEAR BY YEAR

Source: Baylis, Boomhower, Colmer & Voorheis (2026), Fig. 4a.



Note: One line follows occupants whose homes were destroyed; the other, occupants of homes in the same fires that survived. Both are measured against similar people just outside the perimeter, set to zero the year before the fire. A point below the line means that group fell behind. If the fire itself, rather than the loss of a home, were what costs people income, both lines would fall.

FOUR YEARS ON, HALF THE BURNED HOMES ARE STILL EMPTY

Occupancy at destroyed addresses fell by half after the fire and stayed there for four years. The homes that did come back housed residents earning noticeably more than the people who lived there before, and the share of residents over 65 fell sharply. **A neighborhood can rebuild without the people who lost their homes returning to it**, leaving a recovery program measured by rebuilding progress unable to say which group it reached.

THE FULL COST DOESN'T APPEAR IN A COUNT OF WHAT BURNED

Catastrophic wildfires are becoming more frequent, and these are not distant events. The January 2025 fires in Pacific Palisades and Pasadena fell outside this study's window, and the researchers found that the same pattern holds, with the homes that burned belonging to lower-income households. Every additional fire carries the cost measured here: for a typical victim, roughly $72,000 in uninsured property damage, and about half again on top of that in income that never arrives. **Counting what a wildfire costs means following both the people and the places it burned, for years after the fire.**

FOR MORE INFORMATION

Contact [Corresponding author] ([email]) with questions about this research.

Baylis, Patrick, Judson Boomhower, Jonathan Colmer, and John Voorheis. 2026. "The Distribution and Consequences of Natural Disasters: Evidence from U.S. Wildfire Victims." NBER Working Paper. nber.org/papers/w35675.

Patrick Baylis is in the Vancouver School of Economics, University of British Columbia.

Judson Boomhower is in the Department of Economics at the University of California San Diego, and NBER.

Jonathan Colmer is in the Department of Economics at the University of Virginia.

John Voorheis is in the Center for Economic Studies, U.S. Census Bureau.

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